

TERM SHEET FOR SERIES A PREFERRED STOCK FINANCING

Generated 5/12/2026

⚠ Suggested revisions are not legal advice. They are suggested replacement language for review by a qualified professional. Consult an attorney before using any suggested language.

Revision Summary

This revision packet identifies key areas of "TERM SHEET FOR SERIES A PREFERRED STOCK FINANCING" that warrant negotiation or revision. Generated in mock mode — document-specific language requires real AI analysis. All suggested language is for review by a qualified professional only.

Priority Changes

1. Negotiate mutual written amendment requirement
2. Increase liability cap or add carve-outs
3. Reduce or eliminate auto-renewal notice window
4. Clarify data rights and usage restrictions
5. Add force majeure provision

Clause Revisions

High Liability Limitation

Issue: Liability cap may be significantly below potential damages

Original Language

"See document — mock mode active"

Suggested Replacement Language (For Professional Review)

[SUGGESTED FOR PROFESSIONAL REVIEW] Consider negotiating a higher cap, or carve-outs for willful misconduct, gross negligence, and data breach scenarios.

Why it matters: Low liability caps leave you with no meaningful recourse for serious failures.

Medium Auto-Renewal

Issue: Auto-renewal with potentially short cancellation window

Original Language

"See document — mock mode active"

Suggested Replacement Language (For Professional Review)

[SUGGESTED FOR PROFESSIONAL REVIEW] Negotiate a shorter notice window (e.g., 30 days) and require affirmative renewal consent.

Why it matters: Missing the cancellation window locks you into another full-term commitment.

Negotiation Notes

- Start with the highest-severity items first
- Document all verbal agreements in writing
- Request a redline of any counter-proposals
- Consider requesting a 30-day review period before signing

Questions for Your Lawyer

1. Is the arbitration clause enforceable in our jurisdiction?
2. What are our rights if the other party breaches?
3. How should we handle data security requirements?
4. Are there any jurisdiction-specific requirements we need to address?

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